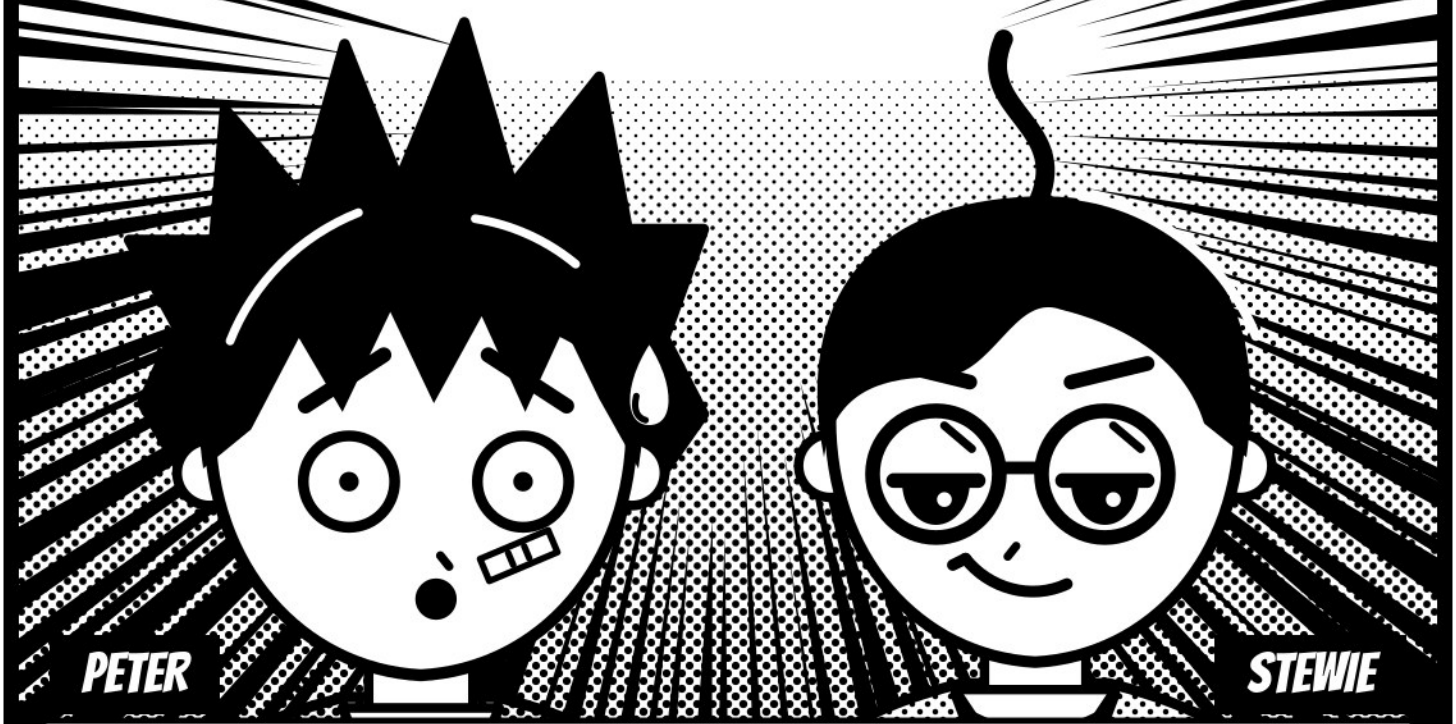
MONEY BRAINROT

MODULE 2 · SAVE & MANAGE

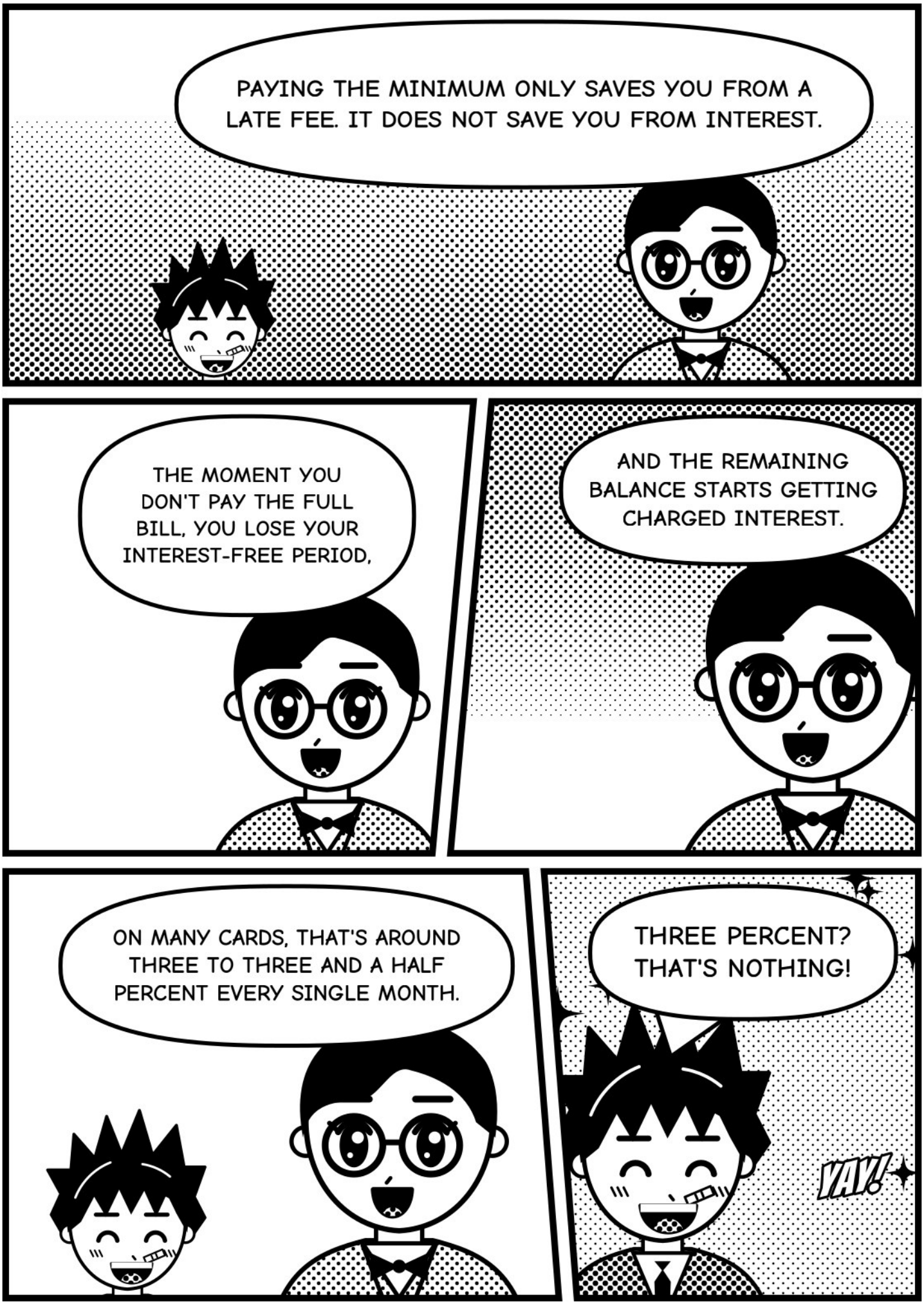
THE CREDIT CARD MINIMUM DUE TRAP

HARD MODE

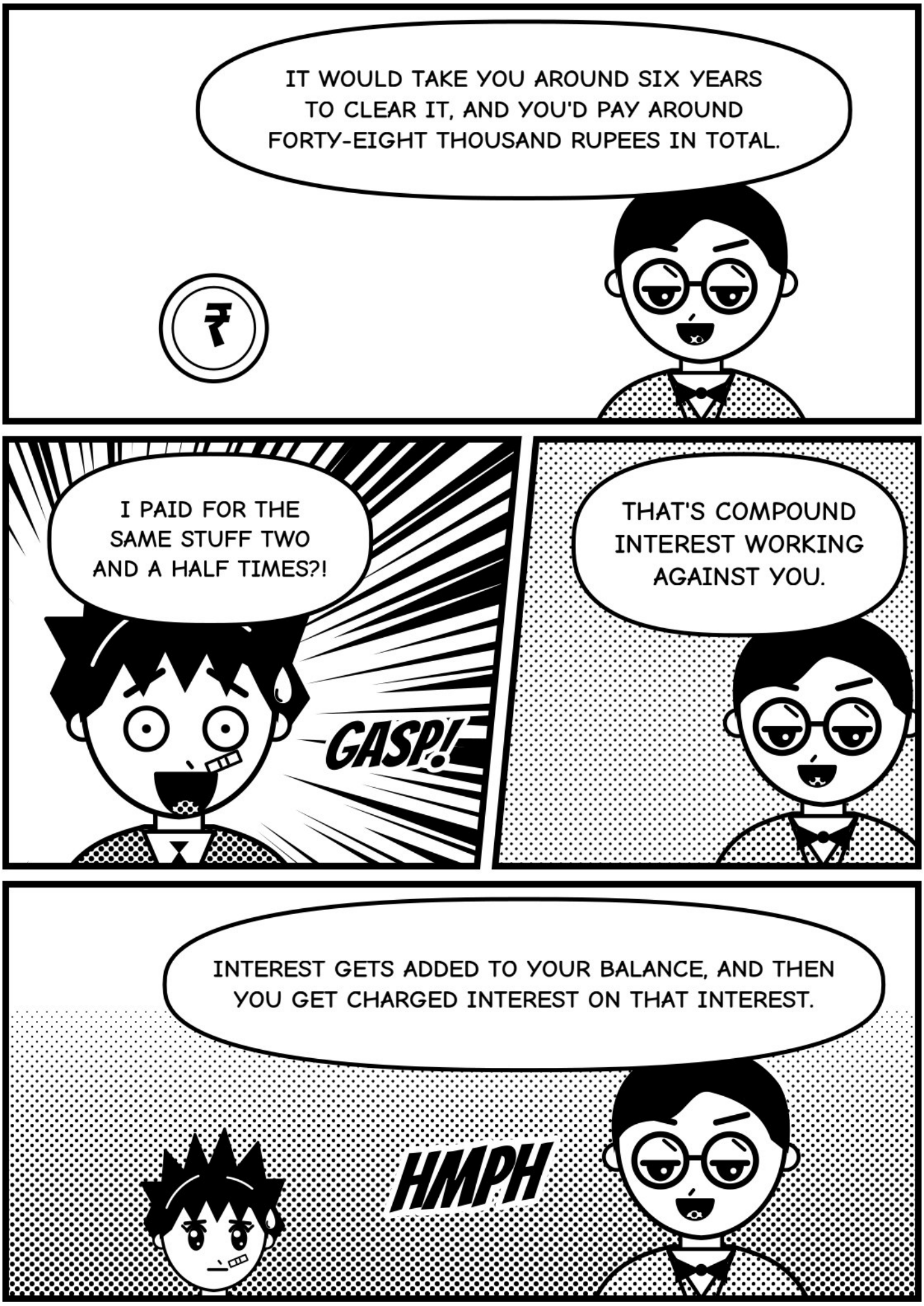


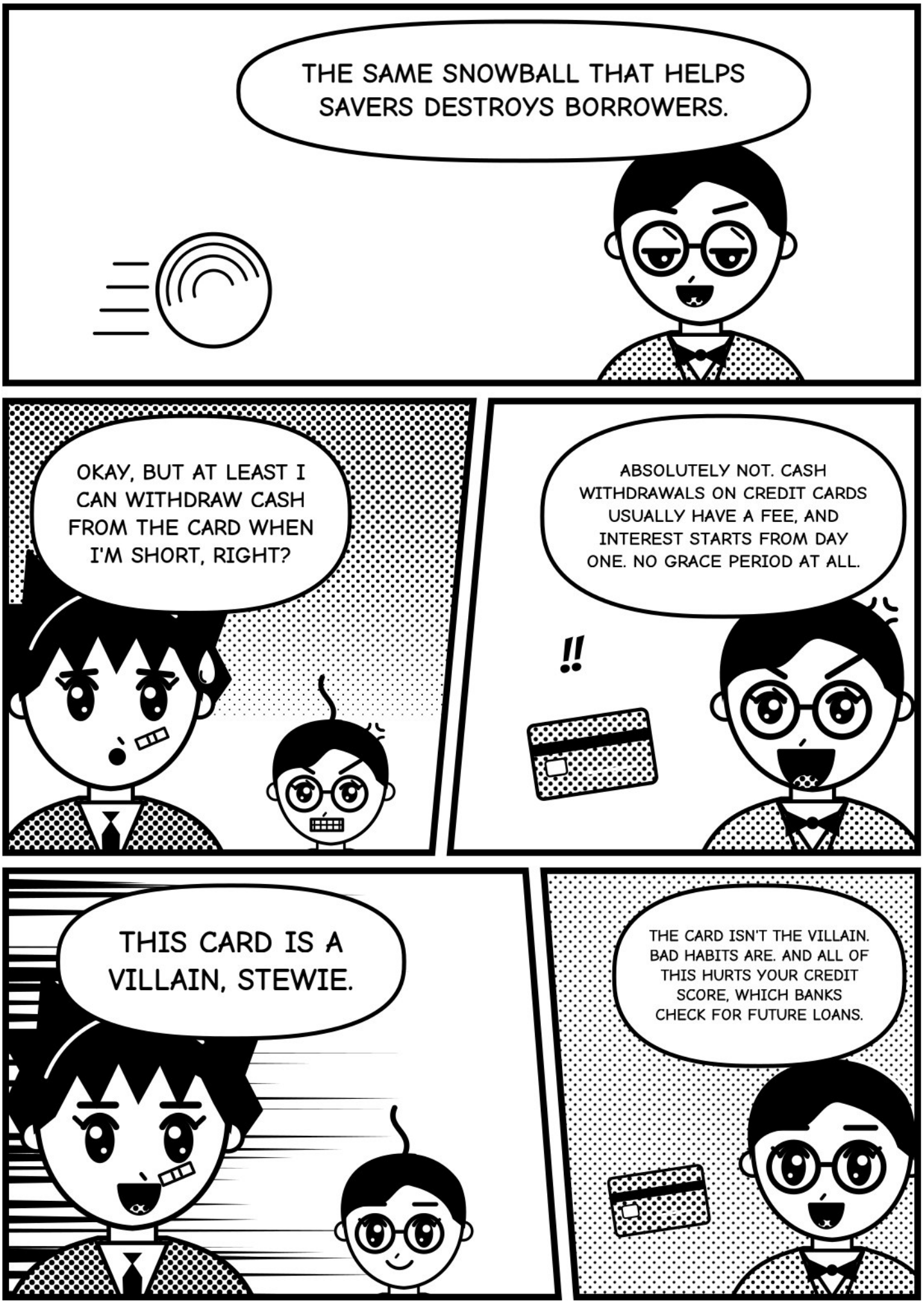
#CreditCard #MinimumDue #DebtTrap #CompoundInterest
#CreditScore #FinancialLiteracy #MoneyBrainrot

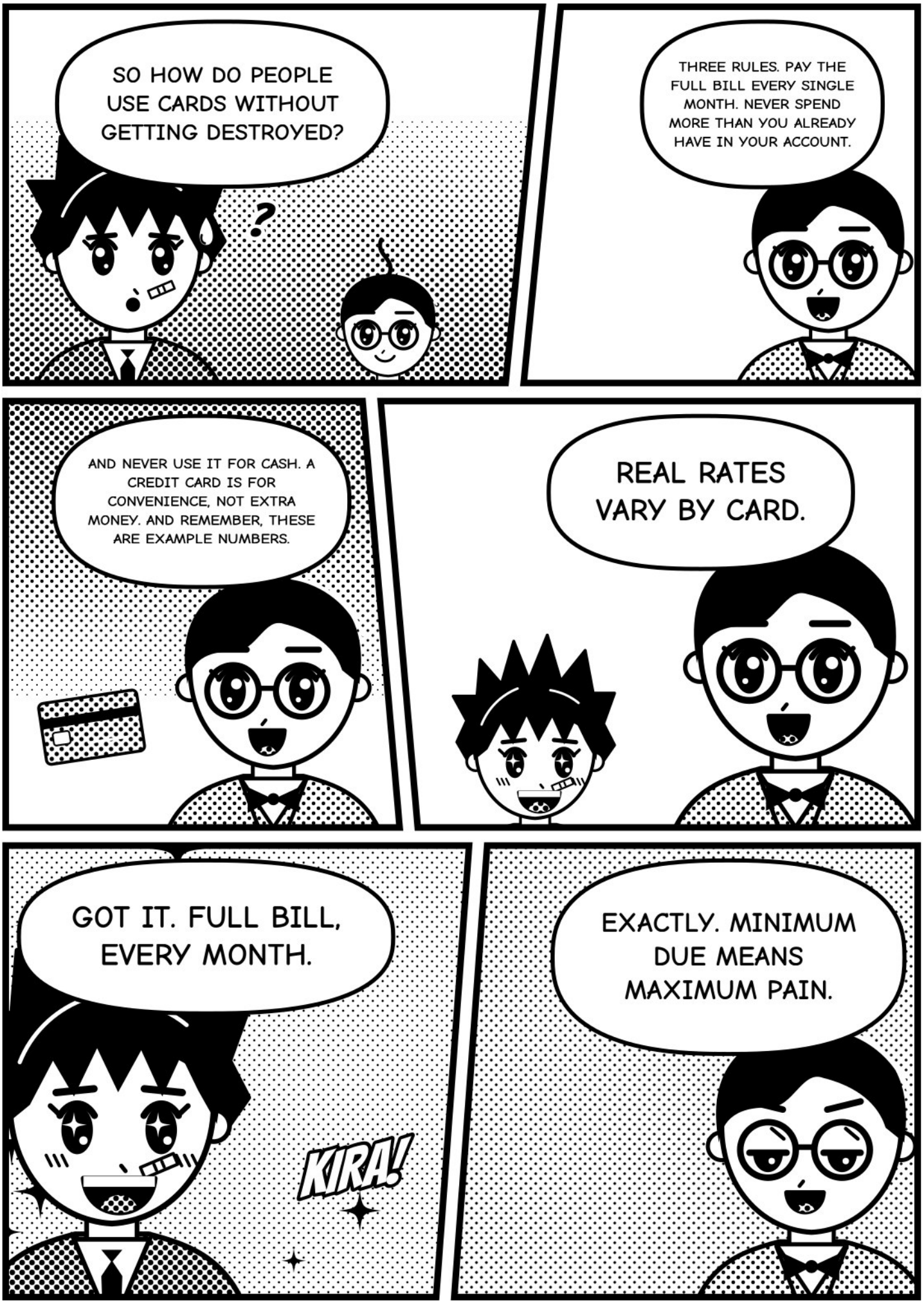

HEY STEWIE, MY CREDIT CARD BILL CAME. IT SAYS TWENTY THOUSAND RUPEES, BUT LOOK, THE MINIMUM DUE IS ONLY ONE THOUSAND!
I'LL JUST PAY THAT. EASY!
PETER, YOU'VE JUST FOUND THE MOST EXPENSIVE BUTTON IN ALL OF FINANCE.
HMPH
BUT IT SAYS MINIMUM. THAT MEANS IT'S THE LEAST I HAVE TO PAY!
!?

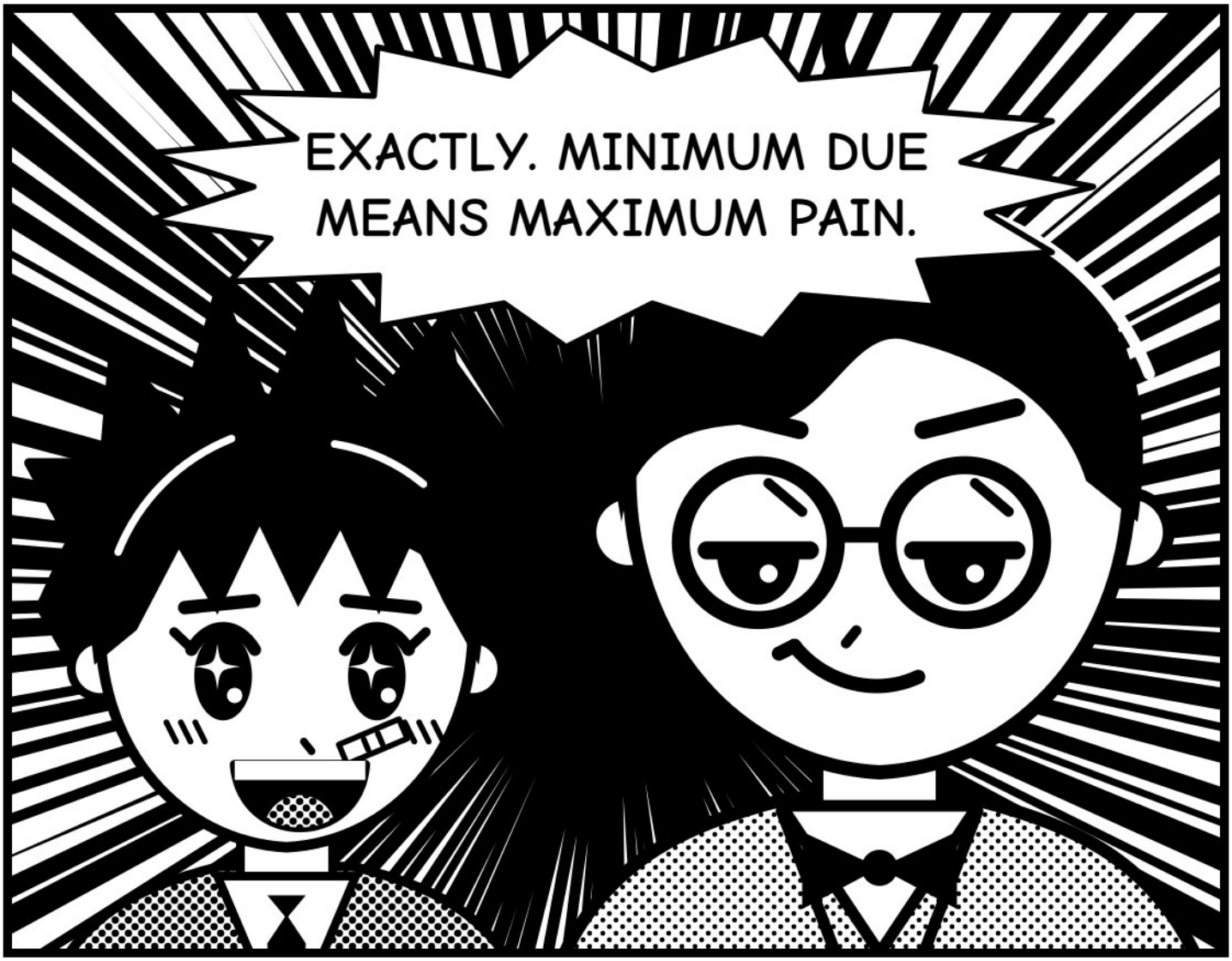

PAYING THE MINIMUM ONLY SAVES YOU FROM A LATE FEE. IT DOES NOT SAVE YOU FROM INTEREST.
THE MOMENT YOU DON'T PAY THE FULL BILL, YOU LOSE YOUR INTEREST-FREE PERIOD,
AND THE REMAINING BALANCE STARTS GETTING CHARGED INTEREST.
ON MANY CARDS, THAT'S AROUND THREE TO THREE AND A HALF PERCENT EVERY SINGLE MONTH.
THREE PERCENT? THAT'S NOTHING!
YAY!


THREE AND A HALF PERCENT A MONTH IS ROUGHLY FORTY PERCENT A YEAR, PETER.
FORTY PERCENT?! THAT'S HIGHER THAN MY IQ!
FOR ONCE, YOU'RE RIGHT. LET'S DO AN EXAMPLE.
YOU HAVE A TWENTY THOUSAND RUPEE BALANCE, INTEREST OF ABOUT THREE AND A HALF PERCENT A MONTH, AND YOU ONLY EVER PAY THE MINIMUM.
HMPH


IT WOULD TAKE YOU AROUND SIX YEARS TO CLEAR IT, AND YOU'D PAY AROUND FORTY-EIGHT THOUSAND RUPEES IN TOTAL.
₹
I PAID FOR THE SAME STUFF TWO AND A HALF TIMES?!
GASP!
THAT'S COMPOUND INTEREST WORKING AGAINST YOU.
INTEREST GETS ADDED TO YOUR BALANCE, AND THEN YOU GET CHARGED INTEREST ON THAT INTEREST.
HMPH


THE SAME SNOWBALL THAT HELPS SAVERS DESTROYS BORROWERS.
OKAY, BUT AT LEAST I CAN WITHDRAW CASH FROM THE CARD WHEN I'M SHORT, RIGHT?
ABSOLUTELY NOT. CASH WITHDRAWALS ON CREDIT CARDS USUALLY HAVE A FEE, AND INTEREST STARTS FROM DAY ONE. NO GRACE PERIOD AT ALL.
!!
THIS CARD IS A VILLAIN, STEWIE.
THE CARD ISN'T THE VILLAIN. BAD HABITS ARE. AND ALL OF THIS HURTS YOUR CREDIT SCORE, WHICH BANKS CHECK FOR FUTURE LOANS.


SO HOW DO PEOPLE USE CARDS WITHOUT GETTING DESTROYED?
?
THREE RULES. PAY THE FULL BILL EVERY SINGLE MONTH. NEVER SPEND MORE THAN YOU ALREADY HAVE IN YOUR ACCOUNT.
AND NEVER USE IT FOR CASH. A CREDIT CARD IS FOR CONVENIENCE, NOT EXTRA MONEY. AND REMEMBER, THESE ARE EXAMPLE NUMBERS.
REAL RATES VARY BY CARD.
GOT IT. FULL BILL, EVERY MONTH.
KIRA!
EXACTLY. MINIMUM DUE MEANS MAXIMUM PAIN.



REMEMBER THIS

1. Paying only the minimum due saves you from a late fee, not from interest.
2. About 3.5% a month is roughly 40% a year. Compound interest works against borrowers.
3. Pay the full bill every month, never spend more than you have, and never withdraw cash on a card.
4. These are example numbers. Real rates vary by card.